CROWN PAINTS KENYA PLC.

CROWN PAINTS KENYA PLC AND SUBSIDIARIES AUDITED YEAR RESULTS FOR THE PERIOD ENDED 31ST DECEMBER 2019

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT

	31ST DEC 2019 KShs'000	31ST DEC 2018 KShs'000
ASSETS		
NON-CURRENT ASSETS	1,886,183	1,581,869
CURRENT ASSETS	3,635,358	3,893,824
TOTAL ASSETS	**5,521,541**	**5,475,693**
EQUITY AND LIABILITIES		
EQUITY		
Share Capital	355,905	355,905
Reserves	951,405	670,955
	1,307,310	**1,026,860**
NON-CURRENT LIABILITIES	576,033	604,760
CURRENT LIABILITIES	3,638,198	3,844,073
TOTAL EQUITY AND LIABILITIES	**5,521,541**	**5,475,693**

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED

	31ST DEC 2019 KShs'000	31ST DEC 2018 KShs'000
REVENUE FROM CONTRACTS WITH CUSTOMERS	**8,603,652**	**8,315,910**
PROFIT BEFORE TAX	**527,974**	**395,935**
TAX EXPENSE	(210,738)	(212,122)
PROFIT FOR THE YEAR	**317,236**	**183,813**
Other comprehensive income to be reclassified to profit or loss in subsequent periods:		
Exchange difference on translation of foreign operations	136	(9,293)
Total comprehensive income net of tax	**317,372**	**174,520**
Basic and diluted earnings per share	**4.46**	**2.58**
Number of shares issued	**71,181**	**71,181**

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED

	31ST DEC 2019 KShs'000	31ST DEC 2018 KShs'000
Cash flows generated from operations	**1,146,726**	**390,031**
Income tax paid	(189,377)	(81,885)
Interest received	12,217	2,270
Interest paid	(305,354)	(275,064)
Net cash generated from operating activities	**664,212**	**35,352**
Net cash used in investing activities	**(251,169)**	**(383,471)**
Net cash (used in) /generated from financing activities	**(350,437)**	**786,550**
Net increase in cash and cash equivalents	**62,606**	**438,431**
Cash and cash equivalents at the beginning of the year	332,264	(114,676)
Effect of exchange rate changes on cash & cash equivalents	(5,627)	8,509
Cash and cash equivalents at the end of the year	**389,243**	**332,264**

COMMENTARY ON THE RESULTS

The Board of Directors is pleased to announce the audited results for the year ended 31st December 2019. The same accounting policies and methods of computation have been used as were in the last financial statements.

BUSINESS COMMENTARY

During the year ended 31st December 2019, Group's revenue grew by 3% (Kes 288 Million) compared to a growth of 13% (Kes 964 million) for the year ended 31st December 2018.

Despite the economy growing at roughly 5.7%, the Group's volumes grew slower at 3% as a result of the slow-down in construction sector activities (home builders and infrastructure segments). The prolonged rains made conditions for construction activities un-favourable and the liquidity challenges that businesses continued to face in the market all led to lower uptake of our goods. These three factors negated the benefits of a stable market in the East African region and a conducive environment to operate in.

For the year ahead, the rapid spread of the coronavirus worldwide has spread fear and disrupted global economic activities, the economic growth of the region is expected to slow down drastically for the year 2020 hence affecting business performance. Our company shall continue to depend on the strengths of our brand and our network of stakeholders to our advantage in order to deliver to the shareholders.

DIVIDEND

The Board of Directors does not recommend payment of any dividend.

By Order of the Board
Conrad Nyukuri,
Company secretary
29th June 2020

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED

	Share Capital KShs'000	Share premium KShs'000	Revaluation Reserve KShs'000	Foreign Currency Transalation Reserve KShs'000	Retained earnings KShs'000	Total Equity KShs'000
At January 2018	**355,905**	**80,174**	**101,091**	**95,968**	**1,124,478**	**1,757,616**
Impact of IFRS 9 adoption	-	-	-	-	(947,876)	(947,876)
Deferred tax on IFRS 9 adoption	-	-	-	-	79,350	79,350
At January 2018 (restated)	355,905	80,174	101,091	95,968	255,952	889,090
Profit for the period	-	-	-	-	183,813	183,813
Other comprehensive Income	-	-	-	(9,293)	-	(9,293)
Total comprehensive Income	-	-	-	**(9,293)**	**183,813**	**174,520**
Transfer of revaluation reserve on disposal	-	-	-1119	-	1,119	-
Deferred tax on revaluation reserve on disposal	-	-	-	-	336	336
Transfer of excess depreciation-2018	-	-	-18,743	-	18,743	-
Deferred tax on excess depreciation-2018	-	-	-	-	5,623	5,623
2017 final dividends paid	-	-	-	-	(42,709)	(42,709)
At 31 December 2018	**355,905**	**80,174**	**81,229**	**86,675**	**422,877**	**1,026,860**
At January 2019	**355,905**	**80,174**	**81,229**	**86,675**	**422,877**	**1,026,860**
Profit for the period	-	-	-	-	317,236	317,236
Other comprehensive Income	-	-	-	136	-	136
Total comprehensive Income	-	-	-	**136**	**317,236**	**317,372**
Deferred tax on revaluation reserve on disposal	-	-	(895)	-	895	-
Deferred tax on revaluation reserve on disposal	-	-	-	-	269	269
Transfer of excess depreciation -2019	-	-	(18,743)	-	18,743	-
Deferred tax on excess depreciation-2019	-	-	-	-	5,518	5,518
2018 final dividends paid	-	-	-	-	(42,709)	(42,709)
At 31 December 2019	**355,905**	**80,174**	**61,591**	**86,811**	**722,829**	**1,307,310**